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SITUATIONAL ORDER FLOW

"Why be a sheep in the markets when you can be a wolf and track order flow?"

Module 1 – Combining Price Action With Order Flow.

Situational Order Flow

Disclaimer

This course is for educational and informational purposes only and should not be considered a solicitation to buy or sell a futures contract or make any other type of investment decision. Futures trading contains substantial risk and is not for every investor. An investor could potentially lose all or more than the initial investment. Risk capital is money that can be lost without jeopardizing one's financial security or lifestyle. Only risk capital should be used for trading and only those with sufficient risk capital should consider trading. Past performance is not necessarily indicative of future results.

CFTC Rules 4.41 - Hypothetical or Simulated performance results have certain limitations, unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not been executed, the results may have under-or-over compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation is being made that any account will or is likely to achieve profit or losses similar to those shown.

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Module 1 – Combining Price Action With Order Flow.

Most traders focus on price action when making decisions about their trades. However, price action alone can only tell you so much about what's happening in the market. Order flow is the other key piece of information that can help you to get a fuller picture of what's going on. By combining price action with order flow, you can get a better sense of which way the market is likely to move and make more informed trading decisions.

Situational Order Flow

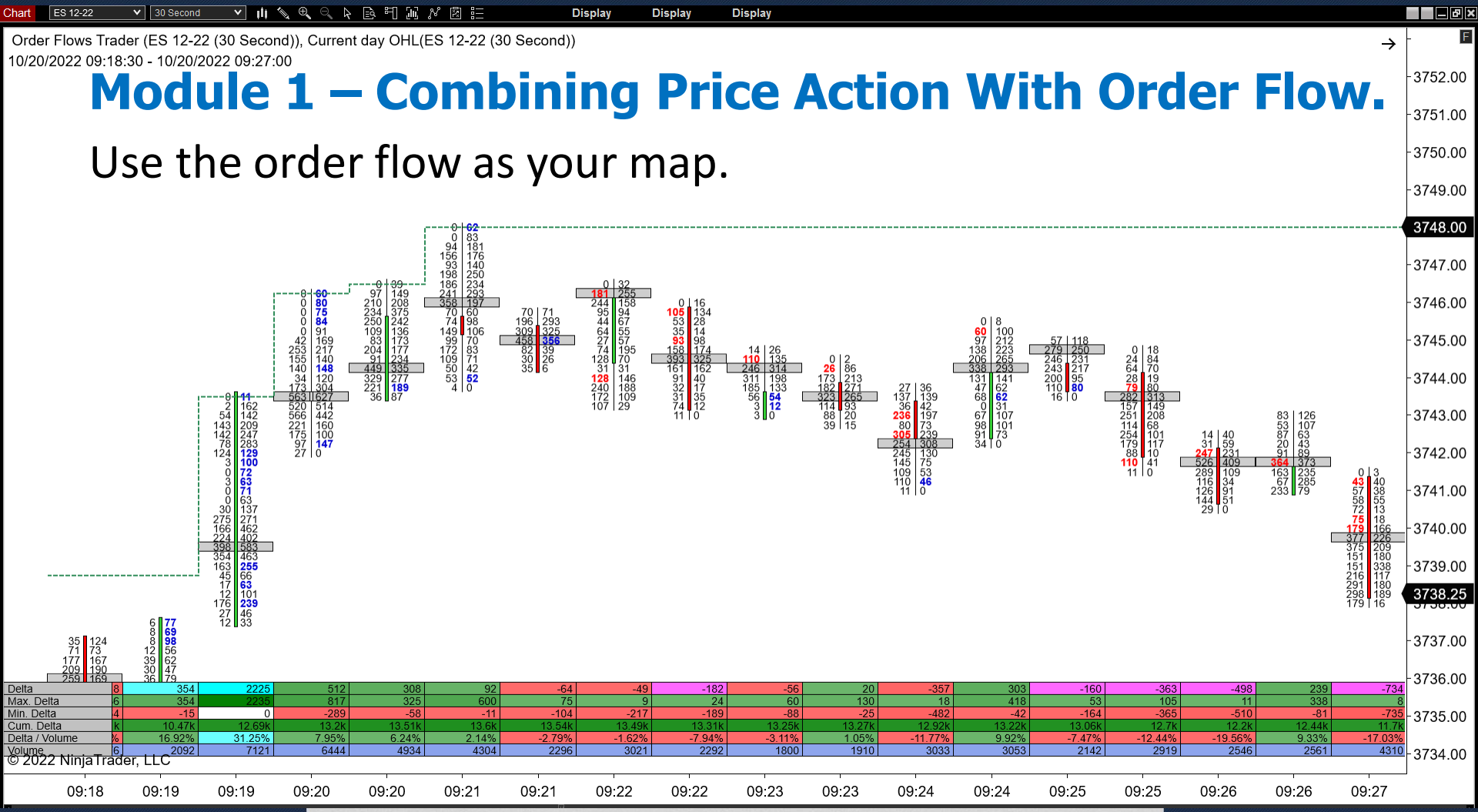
Module 1 – Combining Price Action With Order Flow.

When you look at price action, you're only seeing one side of the trade. You're not seeing how many contracts are changing hands and at what price, and you don't know why those trades are being made. Is it a large institution buying or selling? Is it small retail traders following a trend? Or is it just noise? Order flow can give you clues about why trades are being made, and that can help you to make better predictions about where the market is heading.

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The market is a constantly shifting landscape, and it can be difficult to keep up with all the changes. There are a few things you can look at for clarity. First, look at the volume of trading taking place on the bid and offer. If there is suddenly more activity, it could be a sign that traders are starting to take positions. Secondly, look at the price action. If prices are starting to move higher, even in a volatile market, it could be a sign that the market is starting to turn around. By keeping an eye out for these signs, you can make sure you're prepared when the market starts to turn around.

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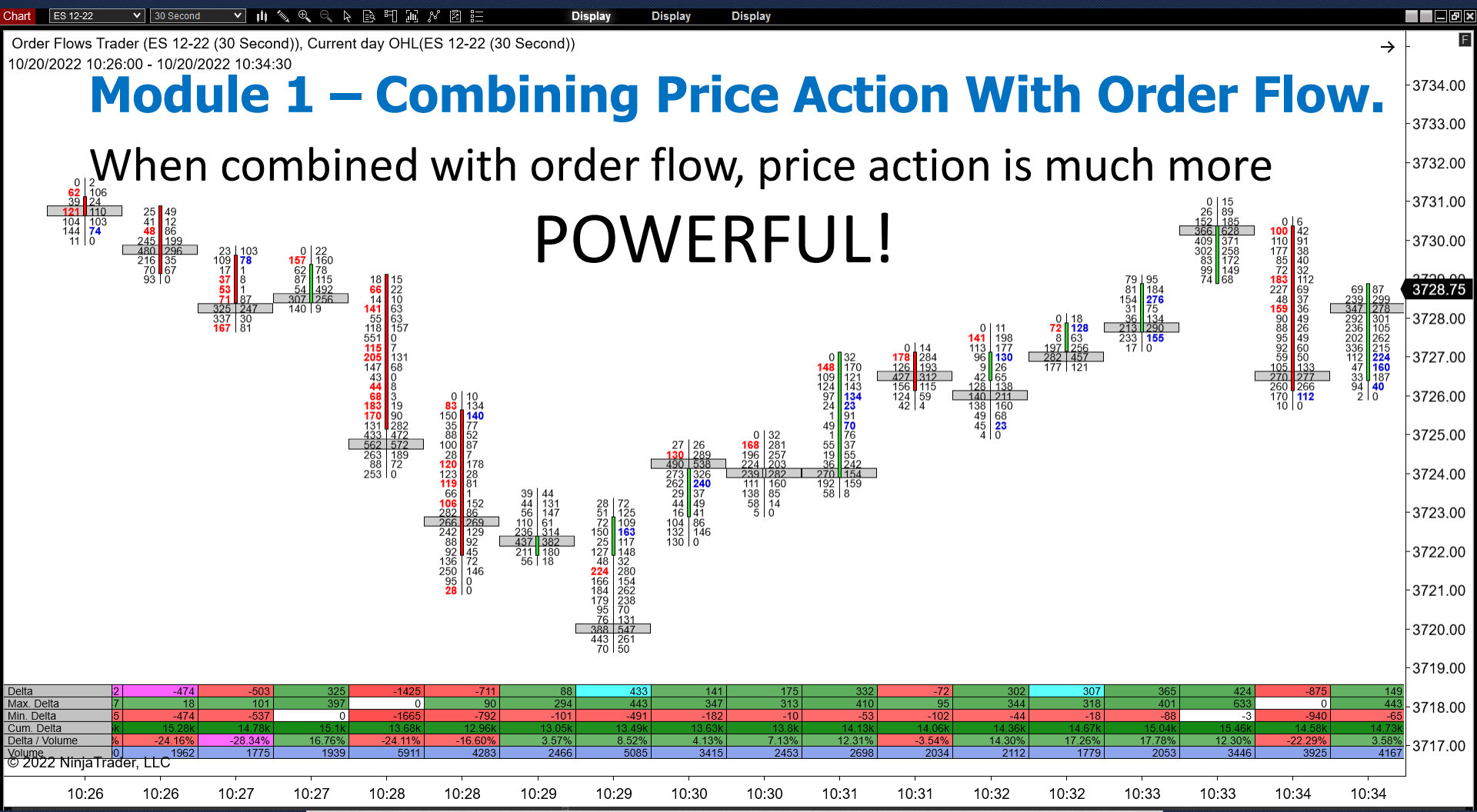
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It's important to always stay focused on what's happening in the market. That means keeping an eye on the charts and making decisions based on order flow and price action. It can be tempting to try to trade based on your own predictions or guesses about where the market is headed. But this is generally a recipe for disaster. The market is constantly changing, and it's very difficult to predict its next move. Instead, focus on trading what you see, not what you think. This means paying attention to order flow and price action and making decisions based solely on that. It may not be as exciting as trying to guess where the market is headed, but it's a much more effective way to trade.

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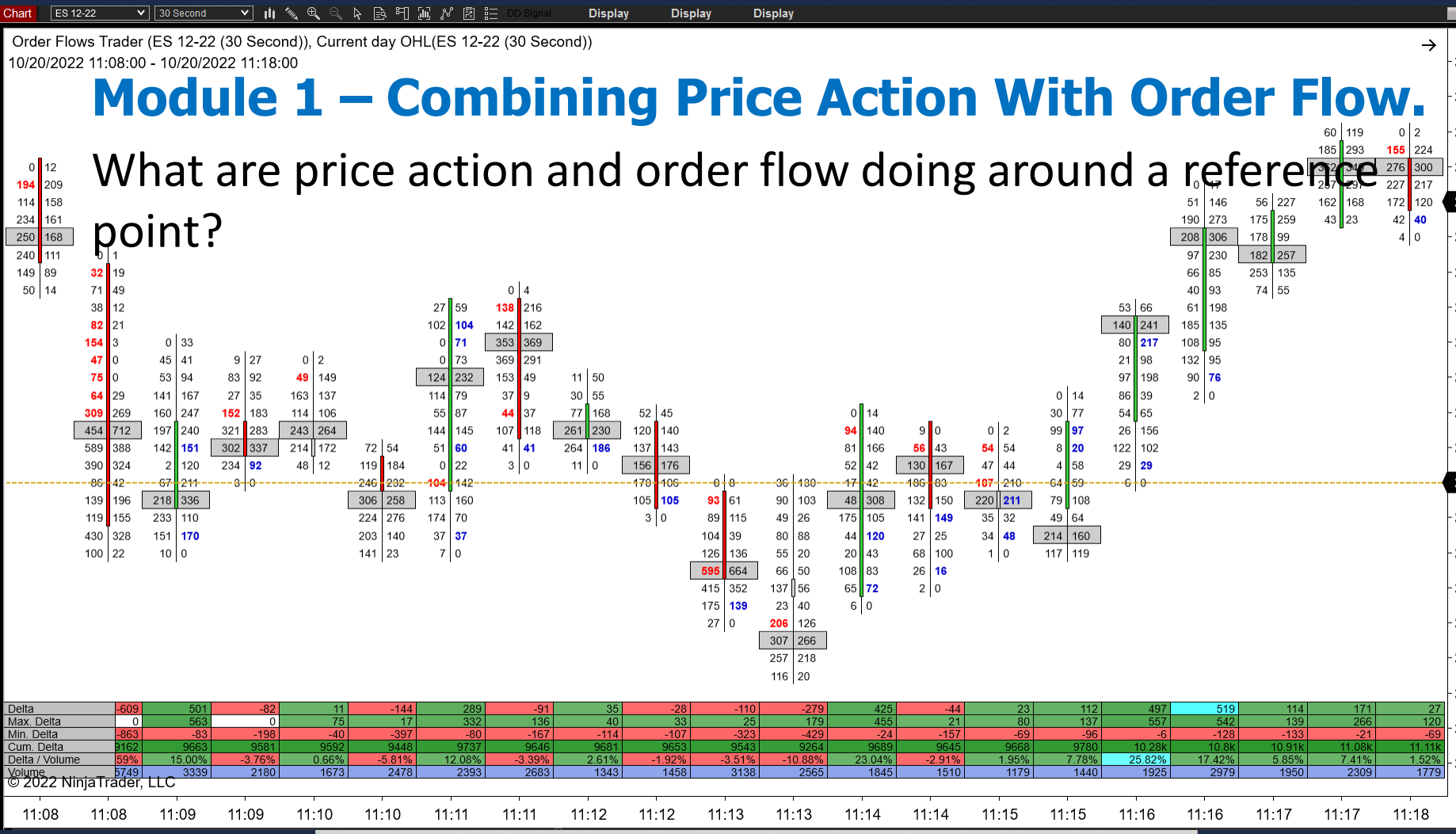


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When analyzing price action and order flow, it is important to keep an eye on how price trades around a reference point. Some traders calculate their own levels, like pivot points, to use as their references, but there are other, more obvious levels such as swing highs and swing lows, the open, or the day's highs and lows. By watching how price behaves around these levels, you can get a better sense of market sentiment and potential areas of support and resistance. In addition, you can also use reference points to help you time your entries and exits.

Situational Order Flow



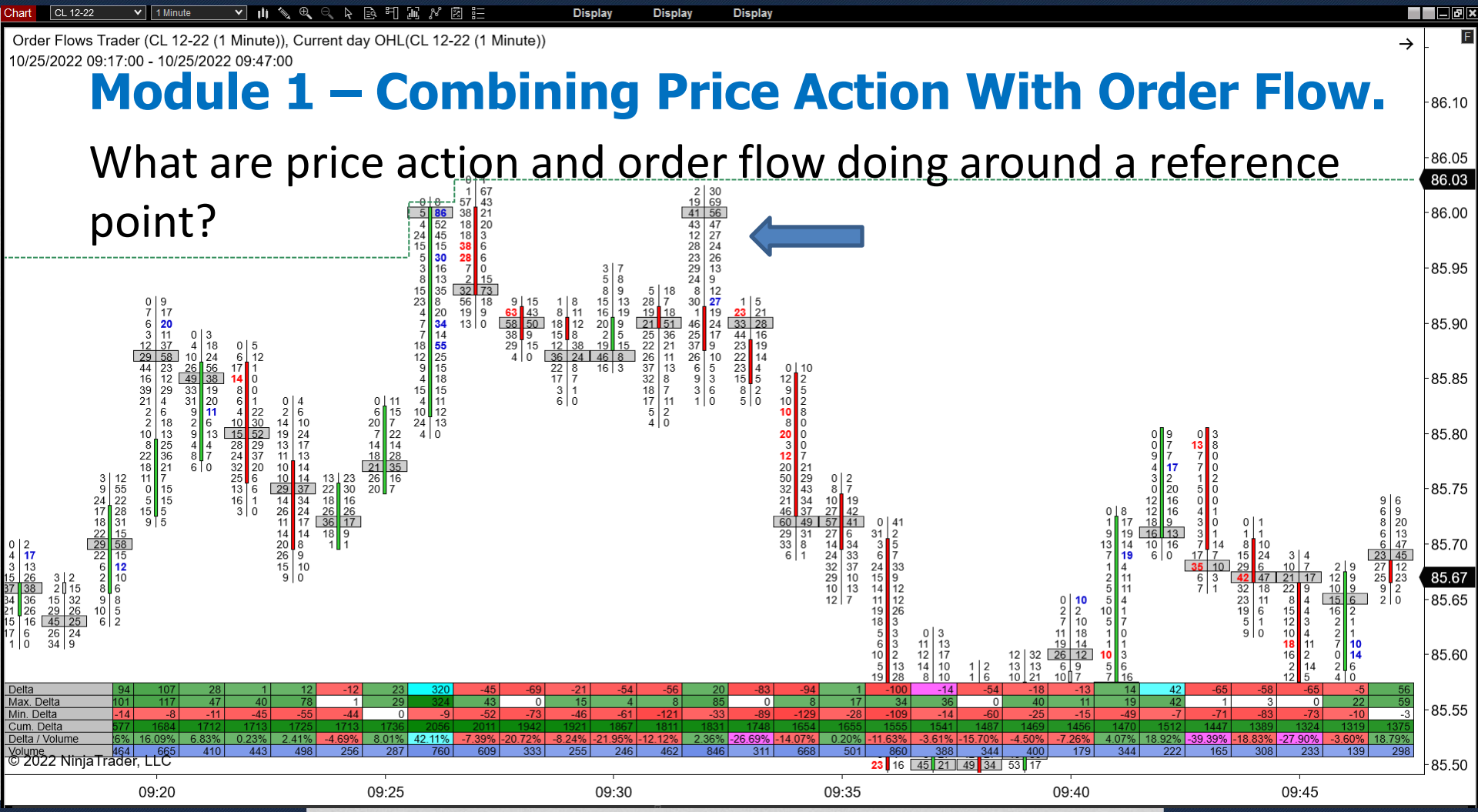
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What are price action and order flow doing around a reference point?



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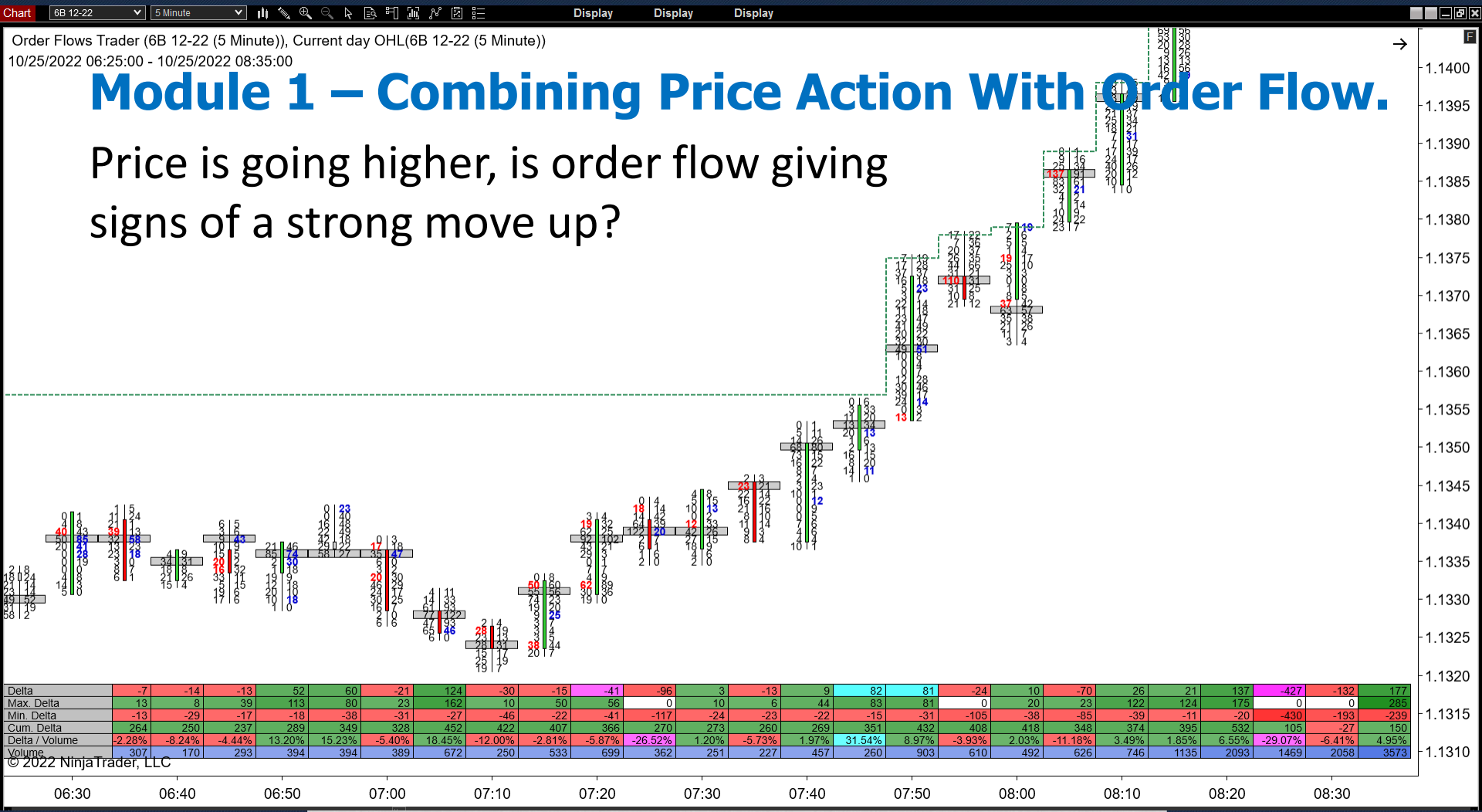


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It is important when analyzing price action and order flow to watch the market's reaction to a particular condition. In other words, when you anticipate the market to behave a certain way according to your expectations. By watching the market's reaction, you can get a feel for how other traders are positioning themselves and what their expectations are.

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Part of being successful with price action and order flow is gradually learning what actions to expect from the market. As you gain experience, you will develop a better sense of what the most probable response or outcome should be. This knowledge can give you an edge in trading, as it can help you make decisions based on a more informed understanding of market behavior. With time and practice, you can learn to read the market's actions and anticipate its next move, giving you a greater chance of success in your trades.

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THIS CONCLUDES MODULE 1

In the next module, I will discuss signs the market is about to shift based on the order flow.